

The R40 line

Every rand of price below R40 lost money. Every rand above it made money. Across three years and 5.28M units sold, that single threshold is the whole story.

OVERALL GROSS MARGIN -3.81% R7.1M cumulative loss	VOLUME-WEIGHTED PRICE R35.40 vs. R40+ profitable threshold	PREMIUM TIER MARGIN +6.89% the only profitable price band
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Jan 2014

daily gross margin, above / below breakeven

Nov 2016

01 Price & volume, at a glance

TOTAL REVENUE R186.9M	TOTAL UNITS SOLD 5.28M	PRICE RANGE R30.70–R43.81	BEST DAY MARGIN +7.75%
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PRICE DISTRIBUTION Volume-weighted average R35.40	UNIT ECONOMICS Average unit profit -R1.35
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Simple daily average	R37.07	Best day (Nov 15, 2016)	+R3.40
Median price	R36.91	Worst day (Nov 24, 2015)	−R2.81
25th percentile	R34.18	Starting price (Dec 2013)	R32.80
75th percentile	R40.33	Ending price (Nov 2016)	R43.81

02 Three price tiers, three outcomes

209 promotional days drove the most volume and the deepest losses. 282 premium days moved the least volume and the only profit.

PRICE TIER	DAYS	VOLUME	AVG DAILY VOLUME	MARGIN	TOTAL GROSS PROFIT
Promotional < R34	209 (20%)	1.94M	9,278/day	−5.48%	−R3.68M
Regular R34–40	562 (53%)	2.76M	4,910/day	−3.05%	−R4.81M
Premium R40+	282 (27%)	581K	2,061/day	+6.89%	+R1.38M

03 Promotions win volume, lose money

19 promotional periods cut price by more than 10%. The three most aggressive:

DATE	PRICE DROP	QUANTITY RESPONSE	ELASTICITY	REVENUE IMPACT
June 23, 2016	−20.6% (R42.04 → R33.39)	+352% (953 → 4,305)	−17.09	+R103,686
Aug 24, 2016	−19.3% (R42.07 → R33.93)	+243% (1,035 → 3,549)	−12.55	+R76,870
Jan 20, 2016	−18.7% (R41.12 → R33.42)	+178% (1,715 → 4,776)	−9.53	+R89,078

— **Demand is highly elastic** — every 1% price cut drove 9–17% more units sold across the three biggest promotions.

- **Revenue rose, profit fell** — deep discounts generated R77K–R104K in extra revenue per event, but on thinner or negative margins.
- **The pattern is deliberate** — all three aggressive promotions ran in 2016, pointing to a repeatable strategy rather than one-off events.
- **Verdict: promotions perform worse** on profitability, despite the volume and revenue they generate.

04 Q4 2016: proof the model works

The only profitable quarter in the dataset — built on the highest average price and the lowest volume.

AVG PRICE	TOTAL VOLUME	GROSS MARGIN
R41.90	99,774	+8.90%
highest of any quarter	lowest of any quarter	first profitable quarter

05 Weekend demand goes unpriced

DAY	AVG DAILY VOLUME	AVG PRICE	GROSS MARGIN	TOTAL SALES
Saturday	7,937	R36.86	−1.51%	R41.9M
Friday	6,955	R36.98	−1.10%	R36.8M
Sunday	3,897	R37.02	−1.15%	R20.7M
Weekdays (avg)	3,852–4,400	R37.02–R37.24	−0.42% to −0.97%	R20.7–23.6M

- Saturday moves **2x weekday volume**, yet prices vary by only about 1% across the week.
- Every day of the week runs a negative margin — this isn't a one-off, it's systemic.

Phase out promotional pricing below R40

Promotions destroy R3.68M in gross profit despite driving 4.5x higher volume. Reserve deep discounts for strategic goals — market share, customer acquisition — never for margin.

Migrate volume toward R40+

Premium is the only profitable tier today at 27% of days and just 11% of volume. Moving 50%+ of volume there could turn a R7.1M loss into an estimated R3–5M profit.

Use elasticity deliberately, not defensively

With elasticity of -9 to -17 , small price moves swing volume sharply. That cuts both ways: test 5–10% increases at the premium tier before reaching for another discount.

Price the weekend

Saturday sells at 2x weekday volume for roughly the same price. A tested 5–10% weekend premium could add an estimated R2–4M a year with limited volume risk.

Make Q4 2016 the template

+8.90% margin came from premium pricing, disciplined volume, and cost control together — not price alone. Investigate and replicate that cost structure going forward.

The choice is volume at a loss, or profit at lower volume

The average selling price of R35.40 sits well below the R40 threshold where the product actually makes money. Q4 2016 proved profitability is achievable — the work now is scaling that quarter's discipline across the calendar.

1. Migrate pricing toward R40+, where +6.89% margins are already proven.
2. Cut promotional activity that currently erases R3.7M in value.
3. Replicate Q4 2016's combination of premium pricing and volume discipline.
4. Capture weekend demand with a tested price premium.
5. Hold the cost discipline that made 2016's turnaround possible.

